

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK
A/S, MSC MEDITERRANEAN SHIPPING
COMPANY S.A., OCEAN NETWORK EXPRESS
PTE. LTD., WAN HAI LINES LTD., YANG MING
MARINE TRANSPORT CORP., AND ZIM
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

COMPLAINANT’S MOTION
TO COMPEL DISCOVERY

Complainant Intermodal Motor Carriers Conference, American Trucking Associations, Inc. (“IMCC”) moves to compel production of documents in response to subpoenas issued by the Presiding Officer on nonparties Direct ChassisLink Inc. (“DCLI”), Flexi-Van Leasing, Inc. (“Flexi-Van”), and Interpool, Inc. d/b/a TRAC Intermodal (“TRAC Intermodal”) (collectively, the “Intermodal Equipment Providers” or “IEPs”). 46 C.F.R. § 502.150; Exs.¹ 1-3 (subpoenas); *see also* Initial Order, Dkt. 5.

Undersigned counsel has repeatedly met and conferred with the IEPs and has offered to substantially narrow the requests to reduce discovery burden. *See* Exs. 4-7 (correspondence letters). Unfortunately, these efforts have been unsuccessful as to several key document

¹ References to “Ex.” or “Exs.” are to the Declaration of David Golden in Support of Complainant’s Motion to Compel, dated May 14, 2021.

requests, as to which the parties have reached impasse. In the interests of “proceed[ing] expeditiously,” Scheduling Order, Dkt. 40 at 2, IMCC now brings the dispute to the Presiding Officer, and requests that this Motion be granted.

I. BACKGROUND

As major chassis providers, the IEPs are a direct source of discovery concerning the nature of the market and the violations committed by the Respondents. The Complaint explains the IEPs’ role with respect to the provision of chassis at ports and intermodal terminals, including that Respondents sold their chassis to the IEPs and then designated the IEPs as their “default” chassis providers; that Respondents exploit the IEP contracting process to *undercharge* for carrier haulage and *overcharge* for chassis use in merchant haulage; and that IEPs formed a Pool-of-Pools at the ports of Los Angeles and Long Beach, subject to the Respondents’ “box rules” whereby the motor carrier must pay the rental rates of a Respondent’s default IEP chassis provider regardless of whether the motor carrier actually obtained the chassis from a different IEP. *See* Compl. ¶¶ 3, 47-56. These and other allegations demonstrate how the IEPs play an important role in the relevant chassis market, and how Respondents use their contractual relationships with the IEPs to deny motor carriers the benefits of chassis choice and price competition. Indeed, the IEPs’ role is important enough that Respondents contended they were necessary and indispensable parties in this proceeding. *Mem. of Law in Supp. of Resp’ts Mot. to Dismiss*, Dkt. 14, at 17.

At IMCC’s request, the Presiding Officer issued subpoenas to the IEPs on March 15, 2021. *See* Exs. 1-3 (issued subpoenas). IMCC and IEP counsel have met and conferred in an effort to reach agreement on the IEPs’ response to these subpoenas, in teleconferences on March 22, April 7, and May 7, 2021, and by correspondence attached hereto as: Ex. 4 (March 30, 2021

letter from IEPs' counsel to IMCC); Ex. 5 (April 22, 2021 letter from IEPs' counsel to IMCC); Ex. 6 (May 3, 2021 letter from IMCC to IEPs' counsel); Ex. 7 (May 13, 2021 letter from IEPs' counsel to IMCC).

Through the meet and confer process, IMCC has offered compromises to limit the Requests to information that is most relevant to its claims and without imposing any undue burden on the IEPs. IMCC and the IEPs have reached informal resolution for Requests 3 (all IEPs), 5 (all IEPs), 6 (DCLI), 7 (Flexi/TRAC), 8 (DCLI), 9 (Flexi/TRAC), 10 (DCLI), 10 (Flexi/TRAC), and 11 (DCLI). For certain key Requests, as set forth below, IMCC expressed its willingness to limit the scope to: (1) the four relevant port geographies; (2) the past five years; and (3) information about Pool-of-Pool box rules and participation rules. Unfortunately, IEPs' counsel has not agreed to provide even this information. IMCC also offered to work with the IEPs to develop sworn affidavits in lieu of document production, but the IEPs have offered only to authenticate documents published on the IEPs' public websites.

As set forth below, the subpoena requests as propounded are reasonable in scope and targeted to obtain relevant information for this proceeding. IMCC's proposed compromises further reduce any burden to the IEPs from document production. After eight weeks of negotiation to address claims of burden, the IEPs still refuse to comply or to reasonably compromise. This motion to compel should be granted.

II. ARGUMENT

The parties set forth below, in accordance with paragraph 11 of the Initial Order in this proceeding, the text of each Request at issue, the IEPs' response,² the relevance of the Request, and an explanation of IMCC's proposal to narrow the scope of document production:

Request 1 (All IEPs): Documents and Communications relating to contracts or agreements with Respondent Ocean Carriers (and any amendments thereto) to provide chassis for the transport of Respondent Ocean Carrier containers, including (1) Your responses to requests for proposals from Respondent Ocean Carriers and negotiations thereof, (2) Your proposals to Respondent Ocean Carriers related to the withdrawal of Respondent Ocean Carriers from CCM-managed chassis pools and negotiations thereof, (3) Your analyses of chassis pricing for CH container movements and the effect on such pricing from designating or not designating You as the preferred/default provider for MH container movements and/or allowing or not allowing motor carrier chassis choice for MH movements, and (4) Your analyses of the effects of chassis interoperability or non-interoperability with other chassis providers or chassis pools at ports or inland intermodal terminals on availability operational efficiency and quality of chassis pricing. Documents responsive to this request include Documents submitted to Your board of directors, management, and/or owners, such as strategy memoranda, presentations, and business plans, including with respect to topics (1) – (4). The Relevant Time Period for this Request is from January 1, 2011 to the present.

- **IEPs' Response:** This request calls for information that should be obtained from the Ocean Carrier parties. It is also overly broad in that it requests documents that "relate" to broad topics spanning over ten years, and seeks irrelevant information, such as the Chassis Providers' analyses of various issues. (Ex. 4.)

Request 1 Relevance: As the Complaint alleges, the IEPs play a central role in the market for chassis provision, and their assessment of the effects on the chassis marketplace of the practices that are the subject of this proceeding are highly relevant. Subparts (1)-(3) of this Request seek the IEPs' responses to requests for proposals from ocean carriers, and negotiations thereof; IEP proposals to ocean carriers regarding those ocean carriers' withdrawal from CCM-managed chassis pools, and negotiations thereof; and IEP analyses of chassis pricing for carrier haulage movements, and the effect of such pricing for merchant haulage movements. Subparts (1)-(3)

² The IEPs have responded to the subpoena with comments by letter, attached as Exs. 4, 5, and 7. Complainant cites the IEPs' most complete response to the request, which is generally the initial response where the IEPs' later correspondence indicates they would stand by their prior objections.

remain directly relevant to allegations in IMCC’s complaint, including that each Respondent ocean carrier has designated an IEP as its default provider for haulage of containers when a motor carrier is billed for usage while awarding the contract based on the price of haulage when the ocean carrier is billed for chassis usage, Compl. ¶¶ 3(e), 47-49; has withdrawn from CCMP Agreement pools and designating single-provider chassis pools as the default provider for all container movements, *id.* ¶¶ 3(d), 51, 78; and has compelled IEPs to *undercharge* the ocean carrier for carrier haulage movement while *overcharging* for chassis usage for merchant haulage (without fear that the overcharge will cause motor carriers to seek the services of another IEP), thus denying the benefits of chassis choice and price competition to motor carriers, to the benefit of the ocean carrier respondents, *id.* ¶¶ 3(f), 47-49, 78, 80. Subpart (4) of this Request seeks analyses of the effects of chassis interoperability or non-interoperability with other chassis providers or chassis pools. This information is directly relevant to core allegations in the Complaint, including the benefits of interoperable “gray” pools and the harms from single-provider pools. Compl. ¶¶ 39-46, 53-56, 80.

IMCC’s Efforts to Narrow: Because IMCC also seeks documents responsive to subparts (1)-(3) from Respondents, IMCC has proposed that IEPs may postpone responses to these subparts for now, and respond only to subpart (4). As major chassis providers, the IEPs’ views will allow the Presiding Officer to determine the benefits and harms of interoperability and non-interoperability in an efficient manner. IMCC has further narrowed the Relevant Time Period for this Request to January 1, 2016 to the present.

Request 2 (All IEPs): Documents and/or data sufficient to show for each port or inland intermodal terminal at which You provide chassis for Respondent Ocean Carriers: (1) the number of Respondent Ocean Carrier container movements that utilize chassis provided by You that are CH movements; (2) the number of Respondent Ocean Carrier container movements that utilize chassis provided by You that are MH movements; (3) the number of Respondent Ocean Carrier MH container movements that do not utilize a chassis provided under Your contracts

with Respondent Ocean Carrier; (4); the average and median age of Your chassis; and (5) Your daily rental prices and amendments and updates thereto for chassis used in MH movements. Documents and/or data responsive to categories (1), (2), and (3) may be provided in a format that aggregates such data no less frequently than monthly by any Respondent Ocean Carrier. Documents and/or data responsive to category (4) may be provided in a format that aggregates such data no less frequently than semiannually by port and inland intermodal terminal. The Relevant Time Period for this Request is from January 1, 2015 to the present.

- IEPs' Response: This request calls for information that should be obtained first from the Ocean Carrier parties and/or from CCM as the pool manager for various implicated pools/geographic areas. It is also overly broad in that it requests documents pertaining to every container movement for over six years at every port in which our clients operate throughout the United States, including multiple locations at each port, which would generate an extremely large volume of data. We have difficulty seeing how you would use that data, if it could even be made available, much less how it is relevant to your claims. (Ex. 4.)

Request 2 Relevance: The requested data is directly relevant to the question of market definition, which the Presiding Officer has identified as an area of inquiry. See Order Denying Mot. for Leave to File Interlocutory Appeal, Dkt. 24, at 6 (“The parties may want to consider the appropriate scope of the relevant market, whether there are multiple relevant markets, and the harm to competition”). Particularly because the IEPs are the dominant chassis providers in the U.S., their statistical analyses and assessments of the trends in chassis usage are highly relevant to the existence of potential product submarkets in the provision of chassis and the existence of alternatives (e.g., chassis ownership, leasing, and daily rentals). Further, market-level aggregated data and analyses are uniquely within the IEPs’ possession and thus discovery of that information would allow discovery to proceed expeditiously.

IMCC’s Efforts to Narrow: IMCC has narrowed this Request by seeking documents only as they are kept in the ordinary course of business, and narrowed by the four relevant geographies.

IMCC has further narrowed the Relevant Time Period for this Request to January 1, 2016 to the present. The IEPs are the most efficient source of discovery because, as the Respondent ocean carriers’ default chassis providers, they have the best access to information regarding chassis

provision and movements in the four relevant geographies (or, if unavailable, nationally), and they collect this information in the ordinary course of their business.

Request 3 (All IEPs): Documents sufficient to show Your discounts, if any, below daily rental prices provided to motor carriers for chassis to be utilized for MH movements at each port or inland intermodal terminal at which You provide chassis for Respondent Ocean Carriers, including Your reasons and strategy for providing such discounts. Documents responsive to this request include Documents submitted to Your board of directors, management, and/or owners, including strategy memoranda, presentations, and business plans and contracts including such discounts, if any. The Relevant Time Period for this Request is from January 1, 2015 to the present.

- **IEPs' Response:** The Chassis Providers stand by their objections to this request and the clarifications raised above and in our prior communications. However, as requested, the Chassis Providers will produce their respective published rates for five years in the agreed upon markets (Ports of LA/LB, Port of Savannah, intermodal terminals in Chicago area, and intermodal terminals in the Memphis area). Due to the manner in which this information is maintained, it will be provided in narrative format. (Ex. 7.)

Request 3 Relevance: The IEPs do not appear to dispute the relevance of Request 3.

IMCC's Efforts to Narrow: The IMCC agrees to the scope offered by the IEPs, but not to a response in a "narrative format." IMCC requests that the IEPs provide responsive documents and documents sufficient to show their published rates for daily chassis rentals from January 1, 2016 to present, as maintained in the ordinary course of business.

Request 4 (All IEPs): Documents and Communications related to Flexi-Van Leasing, Inc. and Direct ChassisLink, Inc.'s January 2014 request for a Department of Justice Antitrust Division Business Review Letter.

- **IEPs' Response:** This request seeks information concerning a business review having nothing to do with Ocean Carriers; the review concerned pools established and managed by the Chassis Providers, not your Respondents. It is also burdensome in that it calls for documents pertaining to a review sought over seven years ago, and seeks information on a matter where the bulk of the responsive documents are likely to be privileged and confidential. (Ex. 4.)

Request 4 Relevance: Documents responsive to this Request are relevant to the claimed benefits of interoperable "gray" pools like the Pool-of-Pools in Los Angeles/Long Beach.

Compl. ¶ 55. See Dep't of Justice, [Response to Flexi-Van Leasing, Inc. and Direct ChassisLink,](#)

[Inc. Request for Business Review](#) (Sept. 23, 2014) (“You represent that the increased flexibility created by the interchangeability will enhance customer service, improve chassis productivity and respond to the desire of LA/LB port authorities to achieve better overall utilization of the region’s chassis fleets.”). The IEPs’ view of the benefits of interoperability will assist the Presiding Officer in determining whether the Respondents’ conduct in ports and inland intermodal terminals is unjust and unreasonable. *See* Order Denying Mot. to Dismiss, Dkt. 17, at 5.

IMCC’s Efforts to Narrow: IMCC seeks only the IEPs’ submissions to the Department of Justice, which are not privileged, not the IEPs’ internal communications regarding the Business Review Letter. IMCC has stated its willingness to work with the IEPs on sworn affidavits containing statements of fact admissible in this Proceeding to satisfy this Request, such as the information and charts set forth on the Pool-of-Pools website regarding the benefits of the Pool-of-Pools. *See* Compl. ¶¶ 27, 55-56.

Request 6 (Flexi/TRAC), Request 7 (DCLI): Documents sufficient to show the operation of the Pool-of-Pools, including (1) the system for financial settlement among participating POP chassis contributors, (2) the billing for chassis usage in the Pool-of-Pools by chassis contributors, (3) the quality of chassis contributed to the Pool-of-Pools and maintenance of roadability, (4) the eligibility of an Additional Chassis Contributor to participate as a chassis contributor to the Pool-of-Pools, (5) the entities responsible for the administration of the Pool-of-Pools, and (6) any decisions or votes by participants in the Pool-of-Pools to allow or not allow the institution of motor carrier chassis choice on MH movements. Documents responsive to this request include agreements, manuals, and procedures, including any amendments thereto. The Relevant Time Period for this Request is from January 1, 2014 to the present.

- IEPs’ Response: Your claims are against the pools operated by OCEMA and its affiliates. The Pool of Pools structure is operated by the Chassis Providers. If there is a justification for seeking a huge amount of highly confidential information over a more than seven-year period related to pools that are not subject to your claims, we are not aware of it. (Ex. 4.) The Chassis Providers stand by their objections to this request and the clarifications raised above and in our prior communications, and will provide any information regarding carrier market power in adopting the box rules or purported participation rule described above. (Ex. 7.)

Request 6 (Flexi/TRAC), Request 7 (DCLI) Relevance: Documents responsive to this Request concern whether the IEPs' and Respondents' conduct at non-CCMP ports affects chassis availability, and thus shippers' ability to obtain their containers from ports. See Order Denying Mot. to Dismiss, Dkt. 17, at 5. Specifically, these documents will further address whether the IEPs' Pool-of-Pool procedures, including those implementing ocean carrier "box rules," which prevent freedom of chassis choice by assigning chassis usage and reimbursement to the ocean carrier's designated IEP rather than to competing chassis providers. Compl. ¶¶ 50, 56.

IMCC's Efforts to Narrow: IMCC has narrowed this Request by seeking only documents sufficient to show the operation of the Pool-of-Pools, including policies, rules, manuals, and documents showing Pool-of-Pools operations from January 1, 2016 to the present. In the alternative, IMCC has stated its willingness to work with the IEPs on sworn affidavits containing statements of fact admissible in this Proceeding covering the matters set forth in this request, such as the Respondent ocean carriers' rules utilized by the IEPs to assign usage and bill chassis in the Pool-of-Pools (Compl. ¶ 56, quoting TRAC Intermodal website), affirming the validity of the statements and graphics on the Pool-of-Pools website (Compl. ¶ 55), and as to the procedures for assignment of chassis usage by individual IEP. Compl. ¶ 56 ("Chassis Provider/Ocean Liner company Matrix").

Request 8 (Flexi/TRAC), Request 9 (DCLI): Documents sufficient to show Your analyses of the benefits and harms of establishing and/or disestablishing interoperable chassis pools at each port or inland intermodal terminal at which You provide chassis for Respondent Ocean Carriers, including pools managed by CCM. Documents responsive to this request include Documents submitted to Your board of directors, management, and/or owners, including strategy memoranda, presentations, and business plans. The Relevant Time Period for this Request is from January 1, 2015 to the present.

- IEPs' Response: As with the prior two requests, this request broadly seeks a wide range of information about pools that are not the subject of your claims. To the extent it references CCM, relevant information should be sought from CCM and analyzed to see if it provides support for your claims before highly burdensome discovery is sought from non-parties.

Further, we do not see the relevance to your claims of the Chassis Providers' analyses of any topic. (Ex. 4.)

Request 8 (Flexi/TRAC), Request 9 (DCLI) Relevance: Documents responsive to this Request are relevant to show the benefits and harms of establishing and/or disestablishing interoperable chassis pools. Compl. ¶¶ 39-42. Evidence of key market participants' assessments of benefits and/or harms of interoperable chassis pools would provide highly probative evidence of the effects of Respondents' conduct, such as chassis choice restrictions and withdrawal from interoperable chassis pools, on chassis availability in ports and inland intermodal terminals, and thus shippers' ability to obtain their containers from ports. See Order Denying Mot. to Dismiss, Dkt. 17, at 5.

IMCC's Efforts to Narrow: IMCC has narrowed this Request by seeking only documents "sufficient to show" the requested information, including documents submitted to an IEP's board of directors, management, and/or owners, including strategy memoranda, presentations, and business plans. As major chassis providers, the IEPs' views will provide relevant evidence of the benefits and harms of interoperability and non-interoperability that would not be in any Party's possession. IMCC has narrowed the Relevant Time Period for this Request to January 1, 2016 to the present.

III. CONCLUSION

IMCC respectfully requests that the Presiding Officer issue an order compelling discovery of the IEPs.

DATED: May 14, 2021

Respectfully submitted,

/s/ W. Stephen Cannon

W. Stephen Cannon
David D. Golden
Seth D. Greenstein
Richard O. Levine
J. Wyatt Fore
Paulette Rodriguez Lopez
Osob M. Samantar
CONSTANTINE CANNON LLP
1001 Pennsylvania Avenue, NW
Suite 1300N
Washington, DC 20004
Phone: 202-204-3500
scannon@constantinecannon.com

Richard Pianka
American Trucking Associations, Inc.
950 N. Glebe Rd. Ste. 210
Arlington, VA 22203
(703) 838-1889
rpianka@trucking.org

*Counsel for Complainant
Intermodal Motor Carriers Conference of the
American Trucking Associations*

CERTIFICATE OF SERVICE

I certify that, on May 14, 2021, a true and current copy of the foregoing Motion to Compel Discovery was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel for the IEPs and counsel for the Respondents:

Jeffrey S. King
John Longstreth
K&L Gates LLP
State Street Financial Center
One Lincoln Street
Boston, MA 02111-2950
jeffrey.king@klgates.com
john.longstreth@klgates.com

Counsel for Direct ChassisLink Inc., Flexi-Van Leasing, Inc., and Interpool, Inc. d/b/a TRAC Intermodal

Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
Cozen O'Connor
1200 Nineteenth Street, NW
Washington, D.C. 20036
wrohde@cozen.com
craleigh@cozen.com
ksobotta@cozen.com

Counsel for Ocean Carrier Equipment Management Association, Inc.; Consolidated Chassis Management, LLC.; CMA CGM S.A.; COSCO Shipping Lines Co. Ltd.; HMM Company Limited; Maersk A/S; MSC Mediterranean Shipping Company S.A.; Ocean Network Express Pte. Ltd.; Wan Hai Lines Ltd.; Zim Integrated Shipping Services; and co-counsel for Evergreen Line Joint Service Agreement, FMC No. 011982

Paul M. Keane
Joseph De May
Cichanowicz Callan Keane & De May, LLP
50 Main Street
White Plains, NY 10606
pkeane@cckd-ny.com
jdemay@cckd-ny.com

Counsel for Evergreen Line Joint Service Agreement, FMC No. 011982

Deana E. Rose
Manelli Selter PLLC
1725 I Street, NW, Suite 300
Washington, D.C. 20006
drose@mdslaw.com

Counsel for Yang Ming Marine Transport Corp.

Gerald A. Morrissey III
Christopher Nolan
Holland & Knight LLP
800 17th Street NW, Suite 1100
Washington, D.C. 20006
gerald.morrissey@hklaw.com
chris.noland@hklaw.com

Counsel for Hapag-Lloyd AG

DATED: May 14, 2021

/s/ David D. Golden

David D. Golden
CONSTANTINE CANNON LLP